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Report No: RES50897

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT *AND/OR*
INTERNATIONAL DEVELOPMENT ASSOCIATION

RESTRUCTURING PAPER

ON A

PROPOSED PROGRAM RESTRUCTURING
OF

{BUENOS AIRES WATER SUPPLY AND SANITATION WITH A FOCUS ON VULNERABLE AREAS PROGRAM}
APPROVED ON FEBRUARY 25, 2021

TO THE

ARGENTINE REPUBLIC

Water Global Practice
Latin America And Caribbean Region

Regional Vice President: Carlos Felipe Jaramillo



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BUENOS AIRES WATER SUPPLY AND SANITATION WITH A FOCUS ON VULNERABLE AREAS PROGRAM
(P172689)

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ABBREVIATIONS AND ACRONYMS

DLI	Disbursement Linked Indicator
AySA	Argentine Water and Sanitation, <i>Agua y Saneamientos Argentinos</i>



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DATA SHEET (BUENOS AIRES WATER SUPPLY AND SANITATION WITH A FOCUS ON VULNERABLE AREAS PROGRAM - P172689)

Project ID	Financing Instrument	IPF Component
P172689	Program-for-Results Financing	No
Approval Date	Current Closing Date	
25-Feb-2021	26-May-2026	

Organizations

Borrower	Responsible Agency
Argentine Republic	

Program Development Objective(s)

The Program Development Objectives are to increase access to safely managed water and sanitation services with a focus on vulnerable areas of Buenos Aires, and improve AySA's efficiency and capacity to respond to water and sanitation emergency needs

Summary Status of Financing (US\$, Millions)

Ln/Cr/TF	Approval Date	Signing Date	Effectiveness Date	Closing Date	Net Commitment	Disbursed	Undisbursed
IBRD-92070	25-Feb-2021	11-Aug-2021	21-Sep-2021	26-May-2026	300.00	89.37	210.63

Policy Waiver(s)

Does the Program require any waivers of Bank policies applicable to Program-for-Results operations?

Yes

Explanation

This Restructuring Paper seeks to provide a one-time policy waiver to the inclusion of the contract for the construction of the third module of the Norte Wastewater Treatment Plant under the Buenos Aires Water Supply and Sanitation with a Focus on Vulnerable Areas Program's (the Program) activities and expenditure framework.

Have the waiver(s) been endorsed or approved by Bank Management?

Yes



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Explanation

The policy waiver has been approved by the Managing Director, Operations on December 13, 2023.



I. PROGRAM STATUS AND RATIONALE FOR RESTRUCTURING

1. This Restructuring Paper seeks to provide a one-time policy waiver to the inclusion of the contract for the construction of the third module of the Norte Wastewater Treatment Plant under the Buenos Aires Water Supply and Sanitation with a Focus on Vulnerable Areas Program's (the Program) activities and expenditure framework. The policy waiver has been approved by the Managing Director, Operations on December 13, 2023.
2. The Program's progress towards the achievement of objectives as well as implementation progress are rated satisfactory, with US\$89.37 million disbursed (29.8 percent) and a large share of the works contracts to achieve the associated results already signed. All program activities are making progress towards the achievement of Disbursement Linked Indicators (DLIs), implementation of household connections in areas with vulnerable households has gained momentum and are expected to continue to move at an accelerated pace.
3. All actions of the Program Action Plan have been complied with. All the ongoing works have their respective environmental permits approved. AySA has further improved the Program's grievance redress mechanism with a dedicated channel for grievances under the program for connection of vulnerable households to the sewerage network and has recently implemented a protocol for dealing with situations of gender violence and gender discrimination under the program for connection of vulnerable households to the sewerage network. According to the reporting received from AySA, there have been no credible and material allegations on Fraud and Corruption under the Program.
4. This restructuring is proposed to allow for an exception to include in the Program's activities and expenditure framework a high-value contract for the construction of the third module of the Norte Wastewater Treatment Plant under the Program. This restructuring is pursuant to paragraph 10 of Section III of the Program for Results Policy, which allows the inclusion of such contract if deemed important to the integrity of the Program and its monetary value in relation to the overall Program is modest.¹
5. The Legal Agreement for the Program stipulates the exclusion of contracts that exceed the cost of US\$75 million or more.² The construction of the third module of the Norte Wastewater Treatment Plant was initially estimated to cost US\$72.6 million. The contract is in the process of being awarded for the cost of approximately US\$97.5 million (using the official exchange rate of ARS365.5 to US\$1 of August 31, 2023³), which exceeds the threshold.
6. The construction of the third module of the Norte Wastewater Treatment Plant is a key component of the project, as it will expand its treatment capacity from 1.8 m³/s to 2.8 m³/s and allow AySA to expand sanitation coverage for an additional 248,000 people in the Metropolitan Area of Buenos Aires. These works are directly linked to Results Area 1.2, in which the Program will expand safely managed sewerage services in selected municipalities of peri-urban Buenos Aires.

¹ According to Section III, Paragraph 6 of the Bank Directive for Program for Results Financing, "unless determined otherwise by Management, an individual contract is deemed to be modest in relation to the overall PforR Program if its estimated monetary value is equal to or less than 25 percent of the estimated total PforR Program expenditures."

² The Loan Agreement (Section-II.B of Schedule-2) for the Buenos Aires Water Supply and Sanitation with a Focus on Vulnerable Areas Program for Results listed exclusion thresholds as follows: (i) works, estimated to cost US\$75 million equivalent or more per contract; (ii) goods, information technology and non-consulting services estimated to cost US\$50 million equivalent or more per contract; (iii) consulting services, estimated to cost US\$20 million equivalent or more per contract.

³ Date of contract pre-award.



7. Following Program design, the construction of the third module of the Norte Wastewater Treatment Plant is directly linked to the DLI 2.2: Number of households gaining access to safely managed sanitation services living in non-fragile/formal neighborhoods of peri-urban Buenos Aires.⁴ About 57 percent of the value of this DLI (US\$28 million) is contingent upon the successful implementation of this contract. This is critical for the achievement of the Program development objective to increase access to safely managed sanitation services.
8. The contract for the construction of the third module of the Norte Wastewater Treatment Plant represents 16.9 percent of the April 2023 Program costs adjusted to reflect the higher value of this contract (i.e., US\$577.9 million), which is below the threshold established in the Bank Directive for Program for Results Financing for contracts of modest value (less than 25 percent of the estimated total Program for Results expenditures).
9. The cost increases of this contract are a result of: (a) under-estimation of costs by 16 percent (primarily related to the cost of electromechanical equipment), (b) high inflation: according to the Argentinian National Institute of Statistics and Census (INDEC), by the date of bid submission the inflation index for the construction industry in Argentina increased by 494 percent since the costs were calculated in August 2020 for project appraisal, and (c) market distortions caused by the tight government regulation of the dollar exchange rate. The proposed contract amount is deemed reasonable compared with market prices. AySA has indicated it has the capacity to finance the increased Program Costs resulting from this higher value from its own resources.
10. The procurement process was carried out according to AySA's procurement framework, procedures, and practices, including clearances and required approvals, which have been evaluated and found acceptable during Program preparation. It also follows the agreements established in the Program Action Plan.

II. DESCRIPTION OF PROPOSED CHANGES

11. This restructuring is to allow for a one-time contractual waiver to the limitation set out in Section II.B(1) of Schedule 2 to the Loan Agreement. Therefore, activities which involve the procurement of works for the construction of the Third Module of the Norte Wastewater Treatment Plan in Buenos Aires (i.e., *contrato de obras de ampliación de la Planta de Tratamiento Norte – 3º Modulo (NC70031)*) are to be considered part of the Program.

⁴ DLI 2.2: Households in non-fragile/formal neighborhoods that will gain access to safely managed sanitation through the expansion of primary wastewater infrastructure (wastewater treatment and sewerage) in 7 municipalities of peri-urban Buenos Aires. The total amount allocated to this DLI is US\$49.16 million.



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III. SUMMARY OF CHANGES

	Changed	Not Changed
Other Change(s)	✓	
Change in Implementing Agency		✓
Change in Program's Development Objectives		✓
Change in Program Scope		✓
Change in Results Framework		✓
Change in Loan Closing Date(s)		✓
Change in Cancellations Proposed		✓
Reallocation between and/or Change in DLI		✓
Change in Disbursements Arrangements		✓
Change in Disbursement Estimates		✓
Change in Systematic Operations Risk-Rating Tool (SORT)		✓
Change in Safeguard Policies Triggered		✓
Change in Legal Covenants		✓
Change in Institutional Arrangements		✓
Change in Implementation Schedule		✓

IV. DETAILED CHANGE(S)



ANNEX 1: RESULTS FRAMEWORK

Results framework

Program Development Objectives(s)

The Program Development Objectives are to increase access to safely managed water and sanitation services with a focus on vulnerable areas of Buenos Aires, and improve AySA's efficiency and capacity to respond to water and sanitation emergency needs

Program Development Objective Indicators by Objectives/ Outcomes

Indicator Name	DLI	Baseline	End Target
Increase in access to safely managed water services			
Number of households gaining access to safely managed water services (Number)	DLI 1	0.00	35,000.00
Increase in access to safely managed sanitation services			
Number of households gaining access to safely managed sanitation services (Number)	DLI 2	0.00	76,359.00
Improve AySA's efficiency			
Annual savings from operational and commercial efficiency measures (\$/year) (Number)	DLI 4	0.00	9,528,566.00
Improve AySA's capacity to respond to WSS emergency needs			



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Indicator Name	DLI	Baseline	End Target
Number of AySA's emergency response mechanisms strengthened (Number)	DLI 5, 6	0.00	2.00

Intermediate Results Indicators by Result Areas

Indicator Name	DLI	Baseline	End Target
Expansion of WSS services			
Increase in wastewater treatment capacity (m3/s) (Number)		2.26	3.98
Increased pumping capacity in Belgrano WTP to deliver service to Florencio Varela (m3/h) (Number)		0.00	4,000.00
Number of cooperatives trained in the Agua / Cloaca + Trabajo programs (Number)		0.00	30.00
Increase AySA's efficiency			
Length of water supply pipes replaced (Kilometers)		0.00	510.00
Number of sewage pumping stations where energy monitoring equipment will be installed (Number)		69.00	215.00
Number of wells where energy monitoring equipment will be installed (Number)		0.00	800.00
Number of large consumers tele-metered (Number)		0.00	440.00
Number of micro-meters installed (Number)		0.00	71,400.00
Increase AySA's capacity to respond to water supply and sanitation emergency needs			



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Indicator Name	DLI	Baseline	End Target
Prevention and Emergency Plan strengthened (Yes/No)	DLI 5.2	No	Yes
Number of digital solutions implemented (Number)	DLI 6.1	0.00	5.00
Mobile app for citizen engagement in operation (Yes/No)		No	Yes
CRM system for citizen engagement strategy built (Yes/No)	DLI 6.2	No	Yes
Increased share of female staff in management level positions at AySA (Percentage)	DLI 7	22.00	28.00

Disbursement Linked Indicators Matrix

DLI 1	Number of HH gaining access to safely managed water services			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	35,998,375.00	0.00
Period	Value	Allocated Amount (USD)		Formula
Baseline	0.00			
Prior Results		0.00		
April 2021-June 2026	35,000.00	35,998,375.00		See Sub-DLIs 1.1 and 1.2



DLI 1.1	Number of households gaining access to safely managed water services living in fragile neighborhoods			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	16,867,750.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	13,625.00		16,867,750.00	Disbursement = HHs connected_water in fragile neighborhoods * C where: C: 1238 USD / connection
DLI 1.2	Number of households gaining access to safely managed water services living non-fragile / formal neighborhoods			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	19,130,625.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	21,375.00		19,130,625.00	Disb = HH connected_water in no fragile neighborhoods * C where: C: 895 USD / connection

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DLI 2	Number of households gaining access to safely managed sanitation services			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	86,994,236.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	76,359.00		86,994,236.00	See Sub-DLIs 2.1 and 2.2
DLI 2.1	Number of households gaining access to safely managed sanitation services living in fragile neighborhoods			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	37,839,400.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	27,400.00		37,839,400.00	subDLI2.1 = HH connected_sewege in fragile neighborhoods * C where: C: 1381 USD / connection

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DLI 2.2	Number of households gaining access to safely managed sanitation services living in non-fragile / formal neighborhoods			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	49,154,836.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	48,959.00		49,154,836.00	sub DLI 2.2 = HH connected_sewege in non-fragile neighborhoods * C where: C: 1004 USD / connection
DLI 3	Preparation and adoption of AySA's Efficiency Improvement Action Plan (EIAP)			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	20,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results			0.00	
April 2021-June 2026	Yes		20,000,000.00	DLI 3 will disburse 100% of the allocated amount when all conditions (1) to (5), identified in the VP, are met.

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DLI 4	Implementation of AySA's Efficiency Improvement Action Plan (EIAP)			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	100,250,639.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	100.00		100,250,639.00	See Sub-DLIs 4.1 and 4.2
DLI 4.1	Increase in Operational Efficiency (US\$/day)			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	90,250,610.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	20,078.00		90,250,610.00	Disb = c1 * A (m3/day) + c2 * B (kWh/day))x Unit value. Unit value is 4.495 days

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DLI 4.2	Increase in Digital Payment share			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	Yes	Percentage	10,000,029.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	51.00		10,000,029.00	[(Total percentage points achieved in a given Period minus 43) divided by 43]x100 x (196,079 \$/cumulative perc point increase
DLI 5	Implementation and Strengthening of AySA's Prevention and Emergency Plan (PPE)			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	20,006,750.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	Yes		15,000,000.00	See Sub-DLI 5.1
April 2021-June 2026	Yes		5,006,750.00	See Sub-DLI 5.2

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DLI 5.1	COVID-19 Contingency measures implemented			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	15,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	Yes		0.00	
April 2021-June 2026	Yes		15,000,000.00	DLI 5.1 will disburse 100% of the allocated amount when all conditions identified in VP are verified.
DLI 5.2	Preparation of the Epidemiological Risk Contingency Plan			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	5,006,750.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results			0.00	
April 2021-June 2026	Yes		5,006,750.00	DLI 5.2 will disburse 100% of the allocated amount when all conditions identified in VP are verified.

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DLI 6	Implementation of Digital Solutions			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	33,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	6.00		33,000,000.00	See Sub-DLIs 6.1 and 6.2
DLI 6.1	Implementation of Digital Solutions for Internal Systems			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	Yes	Number	26,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	5.00		26,000,000.00	Disbursement = number of measures implemented x Unit value. Unit value is \$5,200,00



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DLI 6.2	Digital Strategy for Citizen Engagement			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Number	7,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results			0.00	
April 2021-June 2026	5.00		7,000,000.00	Disbursement = number of milestones x Unit Value.. Unit value is \$1,400,000
DLI 7	Increase in share of women in leadership positions in AySA			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	3,000,000.00	0.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	22.00			
Prior Results			0.00	
April 2021-June 2026	28.00		3,000,000.00	Disbursement=Achievement x (500,000 \$ per each cumulative incremental percentage point above the initial baseline of 22%)



ANNEX 2: PROGRAM ACTION PLAN

Action Description	Source	DLI#	Responsibility	Timing		Completion Measurement
1. Proposal to strengthen PCU for monitoring of program activities and DLIs, ensuring that the PCU has sufficient staff for these tasks, including focal points for each DLI. The proposal should be acceptable to the Bank, prepared and implemented.	Technical		AySA	Other	4 months after the Effective Date	Proposal submitted to the Bank and implemented
2. AySA will ensure that no expenses under the Program arise from a contract awarded to a company or individual debarred or suspended by the WB. (Compliance with the eligibility requirements related to fraud and corruption (according to the WBG ACGs)	Fiduciary Systems		AySA	Other	Throughout Program Implementation	List of contracts awarded to firms and individuals is sent to the Bank annually.
3. Preparation and implementation of a clause in the bidding documents on the handling of complaints, which includes a detailed description of the procedure through which a timely and fair	Fiduciary Systems		AySA	Other	Preparation within the first 12 months from the Effective Date and application thereafter throughout Program Implementation	Clause on the treatment of procurement-related complaints to be included in the bidding documents, prepared and implemented in a satisfactory manner to the Bank



revision of the complaint is ensured.						
4. Inform the WB of F&C allegations and provide information requested. Make sure that persons or contractors benefitting from WB financing are aware that the Bank may decide to apply sanctions against the person or company according to WB procedures	Fiduciary Systems		AySA	Other	Biannually throughout Program Implementation	Full information, records and documentation the case submitted to the Bank as the Bank may request
5. Map and georeference areas of conservation value within the AySA concession area. Update the map areas with high archaeological and paleontological sensitivity within the AySA concession area.	Environmental and Social Systems		AySA	Other	Within the first three months from the Effective Date	1) Publication on the institutional website 2) Incorporation of the information on the EIAs 3) Incorporation in the environmental and social technical specifications (ETAS) update
6. Improve the procedures and processes for the management of materials with asbestos	Environmental and Social Systems		AySA	Other	Within the first three months from the Effective Date	1) Attach the procedure to the ETAS and incorporate when updated 2) Asbestos management procedure implemented 3) Updated H&S procedure 4) Development of training content and training to the staff provided, with details on training roster
7. Preparation of a code of conduct for cooperatives and a model or list of minimum requirements that will be required of the codes	Environmental and Social Systems		AySA	Other	Within the first three months from the Effective Date, and prior to the start of the Program's works	1) Publication on the institutional website 2) Incorporation into the Environmental and Social Management Plans (ESMPs) 3) Incorporation into the ETAS update



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presented by contractors. Prepare a model of the beneficiary adhesion and conformity note.					(whichever occurs first)	
8. Incorporate in the OM the minimum requirements to be demanded from contractors in the context of ESMP in cases where temporary effects on non-illegal informal economic activities or temporary effects on spaces for community use are identified	Environmental and Social Systems		AySA	Other	Within the first three months from the Effective Date, and prior to the start of the Program's works (whichever occurs first)	Incorporation into the Environmental and Social Management Plans (ESMPs)